Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 1 of 16 · Question 18 part b · 9 marks

2023 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

| Number | | |
|---|---|---|
| **18(a)** | **Award up to 2 marks.**<br><br>Depreciation is an estimate of the loss in value of a non-current asset **(1)** which should be matched against the revenue generated **(1)**<br><br>**Accept any other appropriate responses.** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award one mark for correct figures as indicated.**<br>**Award one mark for all correct dates and details.** | **(9)** |

**Motor Vehicles - Cost Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| Jan 1 | Balance b/d | 76 600 **(1)** | Mar 1 | Disposal | 18 000 **(1)** |
| Jun 1 | Cash book / bank | 21 500 **(1)** | Dec 31 | Balance c/d | 80 100 |
| | | 98 100 | | | 98 100 |
| Jan 1 | Balance b/d | 80 100 **(1)** | | | |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| Mar 1 | Motor vehicles – (cost) | 18 000 **(1)** | Mar 1 | (Motor vehicles) – provision for depreciation | 7 875 **(1)** |
| Dec 31 | Income statement | 1 875 **(1of)** | | Cash book/ bank | 12 000 **(1)** |
| | | 19 875 | | | 19 875 |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 1 of 16 · Question 18 part b · 9 marks

2023 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>Overstated \| <br>Understated \| <br>No effect \| (✓)(1) | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award up to 3 marks.**<br><br>The purchase of a new motor vehicle will benefit the business for more than one year **(1)**<br><br>If the purchase of a new motor vehicle is not treated as capital expenditure it would result in non-current assets being understated **(1)** and the profit for the year also being understated **(1).**<br><br>**Accept any other appropriate responses.** | **(3)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 2 of 16 · Question 17 part c · 10 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

| | | |
|---|---|---|
| 17(a) | **Award marks as indicated.**<br><br>Capital expenditure is expected to benefit the business for more than one accounting period **(1)** whereas revenue expenditure is expected to benefit the current financial period only **(1).**<br><br>Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)**<br><br>Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 2 of 16 · Question 17 part c · 10 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Capital expenditure</th><th>Revenue expenditure</th></tr>
<tr><td>Install shelving in van</td><td>✓ (1)</td><td></td></tr>
<tr><td>Motor insurance</td><td></td><td>✓ (1)</td></tr>
<tr><td>Signwriting on van</td><td>✓ (1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 2 of 16 · Question 17 part c · 10 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 17(c) | **Award 1 mark for each correct figure as indicated plus 1 mark for all correct dates and details.** | **(10)** |

**Motor Vans - Cost Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2021 Feb 1 | Balance b/d | 146 000 **(1)** | 2021 Aug 1 | Asset disposal | 36 000 **(1)** |
| Sep 1 | Cash book/bank | 49 000 **(1)** | 2022 Jan 31 | Balance c/d | 159 000 |
| | | 195 000 | | | 195 000 |
| 2022 Feb 1 | Balance b/d | 159 000 **(1of)** | | | |

**Asset Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2021 Aug 1 | Motor vans cost | 36 000 **(1)** | 2021 Aug 1 | Motor vans prov for depreciation | 12 960 **(2/1of)** |
| 2022 Jan 31 | Income statement | 1 960 **(1of)** | | Cash book/bank | 25 000 **(1)** |
| | | 37 960 | | | 37 960 |

**TOTAL FOR QUESTION 17 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 3 of 16 · Question 18 part b · 1 mark

2025 JUN · Paper 01 · extract 1 of 3 · find part b in this mark scheme extract

**18(a)** **Award marks as indicated.**

| Transaction | Capital Expenditure | Revenue Expenditure |
|---|---|---|
| Legal costs on purchase of business premises | ✓**(1)** | |
| Bank loan interest on purchase of business premises | ✓**(1)** | |
| Delivery cost of new machinery | ✓**(1)** | |
| Insurance of new machinery | | ✓**(1)** |

**(4)**

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>$18 400 **(1).** | **(1)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 3 of 16 · Question 18 part b · 1 mark

2025 JUN · Paper 01 · extract 2 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)** | **Award marks for details and amounts in combination.** | **(5)** |

**Machinery – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2024 Jun 30 | Disposal | 4 000 **(1)** | 2024 Jan 1 | Balance b/d | 6 400 **(1)** |
| 2024 Dec 31 | Balance c/d | 5 840 | 2024 Dec 31 | Income statement | 3 440 **(1)** |
| | | 9 840 | | | 9 840 |
| | | | 2025 Jan 1 | Balance b/d | 5 840 **(1of)** |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2024 Jun 30 | Machinery Cost | 8 000 | 2024 Jun 30 | Machinery Provision for Depreciation | 4 000 |
| Dec 31 | Income statement | 600 **(1of)** | | Bank | 4 600 |
| | | 8 600 | | | 8 600 |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 3 of 16 · Question 18 part b · 1 mark

2025 JUN · Paper 01 · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award up to 2 marks for comments on each method. Award 1 mark for advice.**<br><br>**Sample answer**<br><br>Continuing to use the reducing balance method will reduce the charge for depreciation after the first year **(1)** which will result in a higher profit for the following years **(1).**<br><br>Changing to use the straight-line method will result in the same depreciation charge each year of ownership **(1)** resulting in lower profits and therefore a lower net asset value of the business **(1).**<br><br>I will advise Shauna not to change the method **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 4 of 16 · Question 13 part whole · 5 marks

2019 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

**13**

**Award 1 mark for correct amount.**
**Award 1 mark for all correct dates and details**

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2019 31 Mar | Machinery | 24 000 **(1)** | 2019 31 Mar | Provision for deprecation | 8 640 **(2/1of)** |
| | Income statement | 640 **(1of)** | | Cash Book/Bank | 16 000 |
| | | 24 640 | | | 24 640 |

**(5)**

**TOTAL FOR QUESTION 13 = 5 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 5 of 16 · Question 16 part e · 4 marks

2019 JUN · Paper 01 · extract 1 of 2 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **16(a)** | **Award up to 2 marks for the correct difference.**<br><br>Capital expenditure generates benefit for longer than one year **(1)** whereas revenue expenditure generates benefit for shorter than one year **(1)**.<br>**OR**<br>Capital expenditure is shown in the statement of financial position **(1)** whereas revenue expenditure is shown in the income statement **(1)**. | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| **16(b)** | **Award 1 mark for each concept up to maximum of 2 marks.**<br><br>Accruals/matching **(1).**<br>Consistency **(1)**.<br>Prudence **(1)**. | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| **16(c)** | **Award 1 mark as indicated up to a maximum of 3 marks.**<br><br>Wear and tear **(1)**<br>Obsolescence **(1)**<br>Passage of time **(1)**<br>Depletion **(1)** | **(3)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 5 of 16 · Question 16 part e · 4 marks

2019 JUN · Paper 01 · extract 2 of 2 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 16(d) | **Award 1 mark for correct amount.**<br>**Award 1 mark for all correct dates and details.**<br><br>**Provision for Depreciation - Motor Vehicles Account** | (4) |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 1 January 2019 | Disposal | 10 000 **(1)** | 1 April 2018 | Balance b/d | 20 000 |
| 31 March 2019 | Balance c/d | 18 000 | 31 March 2019 | Income statement | 8 000 **(1 of)** |
| | | 28 000 | | | 28 000 |
| | | | 1 April 2019 | Balance b/d | 18 000 **(1 of)** |

| Question number | Answer | Mark |
|---|---|---|
| 16(e) | **Award 1 mark for correct amount.**<br>**Award 1 mark for all correct dates and details.**<br><br>**Disposal Account** | (4) |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 1 January 2019 | Motor vehicle | 50 000 **(1)** | 1 January 2019 | Provision for depreciation | 10 000 **(1)** |
| | | | | Cash book-(Bank) | 35 500 |
| | | | 31 March 2019 | Income statement | 4 500 **(1 of)** |
| | | 50 000 | | | 50 000 |

**TOTAL FOR QUESTION 16 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 6 of 16 · Question 18 part b · 5 marks

2020 JAN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

**18(a)**

**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**

**Provision for Depreciation - Motor Vehicles Account**

| Date 2019 | Details | $ | Date 2019 | Details | $ |
|---|---|---|---|---|---|
| Sep 30 | Disposal | 4 100 **(1)** | Jan 1 | Balance b/d | 16 000 **(1)** |
| Dec 31 | Balance c/d | 16 825 | Dec 31 | Income statement | 4 925 **(1of)** |
| | | 20 925 | | | 20 925 |
| | | | 2020 Jan 1 | Balance b/d | 16 825 **(1of)** |

**(5)**

| Question number | Answer | Mark |
|---|---|---|
| 18(b) | **Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.** | |

**Disposal Account**

| Date 2019 | Details | $ | Date 2019 | Details | $ |
|---|---|---|---|---|---|
| Sep 30 | Motor vehicles | 16 400 **(1)** | Sep 30 | Provision for depreciation – (Motor vehicles) | 4 100 **(1of)** |
| Dec 31 | Income statement | 950 **(1of)** | | Cash book | 13 250 **(1)** |
| | | 17 350 | | | 17 350 |

**;**

**(5)**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 6 of 16 · Question 18 part b · 5 marks

2020 JAN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 18(c) | **Award marks as indicated.**<br>**Award 1 mark for each identification and 1 mark for each development and 1 mark for conclusion.**<br><br>**Sample answer**<br><br>It will improve accuracy **(1)** as all calculations will be done automatically **(1).**<br><br>It will improve the speed of processing financial data **(1)** as Nyat will only have to make one entry and the other entry will be automatically processed **(1).**<br><br>As a result, Nyat's business should benefit from this purchase **(1).** | **(5)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 7 of 16 · Question 18 part c · 4 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 18 (a) | **Award 1 mark as indicated.**<br>$1 680 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 18 (b) | **Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.** | **(5)** |

**Provision for Depreciation – Machinery Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2019 June 30 | Asset disposal | 1 680 **(1of)** | 2019 Jan 1 | Balance b/d | 9 000 **(1)** |
| Dec 31 | Balance c/d | 10 080 | Dec 31 | Income statement | 2 760 **(1)** |
| | | 11 760 | | | 11 760 |
| | | | 2020 Jan 1 | Balance b/d | 10 080 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| 18 (c) | **Award marks for each correct date, details and amounts in combination.** | **(4)** |

**Asset Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2019 June 30 | Machinery – cost / Journal | 4 200 **(1)** | 2019 June 30 | Provision for depreciation – machinery | 1 680 **(1of)** |
| | | | June 30 | Cash book | 2 000 **(1)** |
| | | | Dec 31 | Income statement | 520 **(1of)** |
| | | 4 200 | | | 4 200 |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 7 of 16 · Question 18 part c · 4 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18 (d)** | **Award 2 marks for comments related to the effect on income statement and 2 marks for the effect on the statement of financial position. Award 1 mark for conclusion.**<br><br>**For example**<br><br>Changing the depreciation method to reducing balance will reduce the charge for depreciation **(1)** which will result in a higher profit for the year **(1).**<br>The change will result in the carrying value of machinery being higher **(1)** and therefore the net asset value also being higher **(1)**.<br>Overall, the change will be beneficial but must adhere to the consistency concept **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 8 of 16 · Question 13 part a · 4 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

**13 (a)** **Award marks for correct date, details and amounts in combination.**

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2019 Dec 31 | Motor vehicles - cost | 20 000 **(1)** | 2019 Dec 31 | Motor vehicles – provision for depreciation | 4 000 **(1)** |
| | Income statement | 400 **(1of)** | | Bank / Cash Book | 16 400 **(1)** |
| | | 20 400 | | | 20 400 |

**(4)**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 8 of 16 · Question 13 part a · 4 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **13 (b)** | **Award 1 mark as indicated**<br><br>Wear and tear **(1)**<br>Obsolescence **(1)**<br>Passage of time **(1)**<br>Depletion **(1)**<br><br>**Accept any other appropriate responses.** | **(1)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 9 of 16 · Question 18 part d.ii · 6 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part d.ii in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>Capital expenditure is the purchase or improvement of non-current assets **(1)** whereas revenue expenditure is the day-to-day running costs of the business **(1)**<br><br>The benefit from capital expenditure is expected to last for more than one year **(1)** whereas the benefit from revenue expenditure is expected to last for less than one year **(1).**<br><br>**Accept any other appropriate responses.** | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award marks as indicated. (Maximum 2 marks).**<br><br>Wear and tear<br>Obsolescence<br>Economic factors<br>Time factor<br>Usage<br>Technological change | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)** | **Award 1 mark as indicated**<br><br>Accruals **(1)** or Prudence **(1)** or Consistency **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d) (i)** | **Award marks as indicated**<br><br>$30 720 **(2) or** $38 400 **(1)** | **(2)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 9 of 16 · Question 18 part d.ii · 6 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part d.ii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)(ii)** | **Award 1 mark for each figure as indicated.**<br>**Award 1 mark for all correct dates and details.** | **(6)** |

**Motor Vehicle Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| Dec 1 2020 | Motor vehicle | 48 000 **(1)** | Dec 1 2020 | Provision for depreciation | 17 280 **(1of)** |
| | | | | Cash book/ bank | 14 000 **(1)** |
| | | | | Bilal | 14 000 **(1)** |
| | | | Jan 31 2021 | Income statement | 2 720 **(1of)** |
| | | 48 000 | | | 48 000 |

**TOTAL FOR QUESTION 18= 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 10 of 16 · Question 18 part d · 2 marks

2021 NOV · Paper 01 · extract 1 of 2 · find part d in this mark scheme extract

**18(a)** — **Award marks as indicated** — **(3)**

| | Revenue expenditure | Capital expenditure |
|---|---|---|
| Machine delivery | | ✓ **(1)** |
| Machine installation | | ✓ **(1)** |
| Machine operatives' wages | ✓ **(1)** | |

| Question number | Answer | Mark |
|---|---|---|
| 18(b) | **Award up to 4 marks for explanation and 1 mark for conclusion.**<br><br>**Sample answer**<br><br>Revenue expenditure is day to day expenses **(1)** and is written off against profit in the year incurred **(1)**.<br><br>Capital expenditure is expenditure on non-current assets **(1)** and appears in the statement of financial position **(1)**.<br><br>It is important to distinguish between capital expenditure and revenue expenditure as failure to do so would result in incorrect profits being declared **(1)**<br><br>**Accept any other appropriate responses.** | **(5)** |

| number | Answer | Mark |
|---|---|---|
| 18(c) | **Award mark as indicated.**<br><br>$4 200 **(1)** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 18(d) | **Award marks as indicated.**<br>$5400 **(2) W**<br><br>**W**<br>$23 400 **(1)** - $18 000 = $5 400 **(1of)** | **(2)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 10 of 16 · Question 18 part d · 2 marks

2021 NOV · Paper 01 · extract 2 of 2 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>18(e)</td><td>

**Award marks for correct date, details and amounts in combination.**

**Machinery – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2020 Jan 1 | Disposal account | 2 600 **(1)** | 2019 Apr 1 | Balance b/d | 4 200 **(1of)** |
| Mar 31 | Balance c/d | 3 040 | 2020 Mar 31 | Income statement | 1 440 **(1)** |
| | | 5 640 | | | 5 640 |
| | | | Apr 1 | Balance b/d | 3 040 **(1of)** |

</td><td>**(4)**</td></tr>
</table>

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 11 of 16 · Question 17 part f · 4 marks

2022 JUN · Paper 01 · extract 1 of 3 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **17(a)** | **Award marks as indicated**<br><br>Wear and tear **(1)**<br>Obsolescence **(1)**<br>Usage **(1)**<br>Technological change **(1)**<br>Depletion **(1)**<br>Time factor**(1)**<br>Economic factors **(1)**<br><br>**Max 2 marks** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| **17(b)** | **Award marks as indicated**<br><br>Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)**<br><br>Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).**<br><br>**Accept any other appropriate response** | **(2)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 11 of 16 · Question 17 part f · 4 marks

2022 JUN · Paper 01 · extract 2 of 3 · find part f in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Capital expenditure</th><th>Revenue expenditure</th></tr>
<tr><td>Delivery cost</td><td>✓ (1)</td><td></td></tr>
<tr><td>Motor insurance</td><td></td><td>✓ (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(d)</td><td>Award 1 mark as indicated.<br><br>$15 360 (1)</td><td>(1)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(e)</td><td>Award marks for correct dates, details and amounts as indicated.<br><br>Provision for Depreciation – Motor Vehicles Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2020<br>June 30</td><td>Disposal</td><td>14 640<br>(1of)</td><td>2021<br>Apr 1</td><td>Balance b/d</td><td>18 240<br>(1)</td></tr>
<tr><td>Mar 31</td><td>Balance c/d</td><td>10 480</td><td>Mar 31</td><td>Income statement</td><td>6 880<br>(1)</td></tr>
<tr><td></td><td></td><td>25 120</td><td></td><td></td><td>25 120</td></tr>
<tr><td></td><td></td><td></td><td>Apr 1</td><td>Balance b/d</td><td>10 480<br>(1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 11 of 16 · Question 17 part f · 4 marks

2022 JUN · Paper 01 · extract 3 of 3 · find part f in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(f)</td><td>Award marks for correct dates, details and amounts as indicated.<br><br>Asset Disposal Account<br><table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2021<br>Jun 30</td><td>Motor vehicle – cost</td><td>30 000<br>(1)</td><td>2021<br>Jun 30</td><td>Motor vehicle – provision for depreciation</td><td>14 640<br>(1of)</td></tr>
<tr><td>2022<br>Mar 31</td><td>Income statement</td><td>1 040<br>(1of)</td><td>Jun 30</td><td>Cash book / bank</td><td>16 400<br>(1)</td></tr>
<tr><td></td><td></td><td>31 040</td><td></td><td></td><td>31 040</td></tr>
</table></td><td>(4)</td></tr>
</table>

**Total for Question 17 = 15 marks**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 12 of 16 · Question 18 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 2 · find part d in this mark scheme extract

| Number | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>| | **Capital expenditure** | **Revenue expenditure** |<br>\|---\|---\|---\|<br>\| Purchase of inventory \| \| ✓ **(1)** \|<br>\| Purchase of machinery \| ✓ **(1)** \| \|<br>\| Installation of machinery \| ✓ **(1)** \| \|<br>\| Machine operator wages \| \| ✓ **(1)** \| | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)(i)** | **Award mark as indicated.**<br><br>Statement of financial position **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)(ii)** | **Award mark as indicated.**<br><br>Income statement **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)** | **Award marks as indicated.**<br><br>| | **Depreciation charge for the year ended 30 April 2021**<br><br>**$** | **Depreciation charge for the year ended 30 April 2022**<br><br>**$** |<br>\|---\|---\|---\|<br>\| Machine A \| 8 400 **(1)** \| 5 880 **(1)** \|<br>\| Machine B \| 10 800 **(1)** \| 7 560 **(1)** \| | **(4)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 12 of 16 · Question 18 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 2 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award mark as indicated.**<br><br>$3 780 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award marks for correct dates, details and amounts in combination.**<br>**Provision for Depreciation - Machinery Account** | **(4)** |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 1 March 2023 | Disposal | 14 280 **(1)** | 1 May 2022 | Balance b/d | 32 640 **(1of)** |
| 30 April | Balance c/d | 23 652 | 30 April 2023 | Income statement / Depreciation charge | 5 292 **(1)** |
| | | 37 932 | | | 37 932 |
| | | | 1 May | Balance b/d | 23 652 **(1of)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 13 of 16 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 · extract 1 of 2 · find part whole in this mark scheme extract

| | | |
|---|---|---|
| **10** | **B $1 000 loss** | **(1)** |

**TOTAL FOR QUESTIONS 1-10 = 10 MARKS**

## Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 13 of 16 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 · extract 2 of 2 · find part whole in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 14 of 16 · Question 17 part c.ii · 7 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part c.ii in this mark scheme extract

| | | |
|---|---|---|
| **17(a)(i)** | **Award 1 mark for identification and 1 mark for linked development.**<br><br>The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(a)(ii)** | **Award 1 mark for identification and 1 mark for linked development.**<br><br>The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)(i)** | **Award mark as indicated.**<br><br>$46 400 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)(ii)** | **Award mark as indicated.**<br><br>$2 300 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)(iii)** | **Award mark as indicated.**<br><br>Overstated: <br>Understated: <br>No effect: ✓ **(1)** | **(1)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 14 of 16 · Question 17 part c.ii · 7 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part c.ii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17(c)(i)** | **Award mark as indicated.**<br>$23 360 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(c)(ii)** | **Award marks for correct details and amounts in combination.** | **(7)** |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2024 Aug 1 | Machinery cost | 36 500 (1) | 2024 Aug 1 | Machinery provision for depreciation | 13 140 (2/1of) |
| 2025 Jun 30 | Income statement | 1 240 (2/1of) | | Cash book /Bank | 8 200 (1) |
| | | | | (Gerhardt) loan | 16 400 (1) |
| | | 37 740 | | | 37 740 |

**TOTAL FOR QUESTION 17 = 15 MARKS**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 15 of 16 · Question 17 part a · 9 marks

2023 JAN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

**17(a)**

**Award marks for correct details and amounts in combination**

**Computer Equipment – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2022 May 1 | Disposal | 1 440 **(1)** | 2021 Sept 1 | Balance b/d | 9 200 **(1)** |
| Aug 31 | Balance c/d | 10 400 | 2022 Aug 31 | Income statement | 2 640 **(1)** |
| | | 11 840 | | | 11 840 |
| | | | Sept 1 | Balance b/d | 10 400 **(1of)** |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2022 May 1 | Computer Equipment – cost | 3 600 **(1)** | 2022 May 1 | Provision for depreciation | 1 440 **(1of)** |
| | | | May 1 | Cash book / bank | 1 950 **(1)** |
| | | | Aug 31 | Income statement **(1)** | 210 **(1of)** |
| | | 3 600 | | | 3 600 |

**(9)**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 15 of 16 · Question 17 part a · 9 marks

2023 JAN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award Marks as indicated
<table>
<tr><th>Term</th><th>Definition</th><th>Exam</th></tr>
<tr><td>Capital expenditure</td><td>Expenditure on non-current assets/ intended to last for more than one financial year (1)</td><td>Motor vehi</td></tr>
<tr><td>Revenue expenditure</td><td>Expenditure on day-to-day running costs/ intended to benefit the current financial year only (1)</td><td>Maintenan</td></tr>
</table>
Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

| Question number | Answer | Mark |
|---|---|---|
| 17(c) | **Award marks as indicated. Max 2 marks.**<br>• Firewall **(1)**<br>• Anti-spyware software **(1)**<br>• Anti-virus software **(1)**<br>• Passwords **(1)**<br>**Accept any other appropriate responses** | **(2)** |

**Total for Question 17 = 15 marks**

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 16 of 16 · Question 18 part c · 5 marks

2025 JUN · Paper 01 · extract 1 of 3 · find part c in this mark scheme extract

**18(a)** **Award marks as indicated.**

| Transaction | Capital Expenditure | Revenue Expenditure |
|---|---|---|
| Legal costs on purchase of business premises | ✓**(1)** | |
| Bank loan interest on purchase of business premises | ✓**(1)** | |
| Delivery cost of new machinery | ✓**(1)** | |
| Insurance of new machinery | | ✓**(1)** |

**(4)**

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>$18 400 **(1).** | **(1)** |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 16 of 16 · Question 18 part c · 5 marks

2025 JUN · Paper 01 · extract 2 of 3 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)** | **Award marks for details and amounts in combination.** | **(5)** |

**Machinery – Provision for Depreciation Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2024 Jun 30 | Disposal | 4 000 **(1)** | 2024 Jan 1 | Balance b/d | 6 400 **(1)** |
| 2024 Dec 31 | Balance c/d | 5 840 | 2024 Dec 31 | Income statement | 3 440 **(1)** |
| | | 9 840 | | | 9 840 |
| | | | 2025 Jan 1 | Balance b/d | 5 840 **(1of)** |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2024 Jun 30 | Machinery Cost | 8 000 | 2024 Jun 30 | Machinery Provision for Depreciation | 4 000 |
| Dec 31 | Income statement | 600 **(1of)** | | Bank | 4 600 |
| | | 8 600 | | | 8 600 |

Type MS · Disposal of non-current assets: cost, disposal and profit or loss on sale

Answer 16 of 16 · Question 18 part c · 5 marks

2025 JUN · Paper 01 · extract 3 of 3 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award up to 2 marks for comments on each method. Award 1 mark for advice.**<br><br>**Sample answer**<br><br>Continuing to use the reducing balance method will reduce the charge for depreciation after the first year **(1)** which will result in a higher profit for the following years **(1).**<br><br>Changing to use the straight-line method will result in the same depreciation charge each year of ownership **(1)** resulting in lower profits and therefore a lower net asset value of the business **(1).**<br><br>I will advise Shauna not to change the method **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**